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Microsoft's Acquisition of Activision Blizzard: The Shift to Become a Gaming Powerhouse?

*This case was written by **Shwetha Kumari**, under the direction of **Jitesh Nair**, IBS Hyderabad. It was compiled from published sources, and is intended to be used as a basis for class discussion rather than to illustrate either effective or ineffective handling of a management situation.*

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IBS Center for Management Research (ICMR)
IFHE Campus, Donthanapally,
Sankarapally Road, Hyderabad-501 203,
Telangana, INDIA.
Ph: +91 9640901313
E-mail: casehelpdesk@ibsindia.org



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*"No one doubts that this was a landmark transaction in the gaming industry. Gaming is a dynamic market that impacts millions of consumers in Europe. So the deal deserves a thorough investigation. We looked at the impacts on gamers today and in the future – whether they play on PC, console, or their phones. We focused on the development of cloud streaming, which will play an increasing role in how consumers access games."*¹

– **The EU, antitrust chief, Margrethe Vestager, in May, 2023**

*"Our vision for the gaming industry is that anyone should be able to play any game, anywhere they want. That's not how the industry works today. [Right now] the industry is split up by platform. It's split up by type of game. It's not actually possible to play seamlessly across devices. That's more a legacy of the way the industry has always been. Now, especially with the advent of the cloud, with tool sets like game engines, it doesn't actually need to be that way. But what we realized is that to kick-start that flywheel, we had to change the way that games were made."*²

– **Sarah Bond (Sarah), Corporate vice president for game creator experience and ecosystem at Xbox, Microsoft, in January 2022**

INTRODUCTION

On October 13, 2023, American multinational technology corporation Microsoft Corp. (Microsoft), headquartered in Redmond, Washington, announced that it had completed its \$69 billion acquisition of videogame behemoth Activision Blizzard. Microsoft had to clear significant regulatory hurdles in the United Kingdom (UK) and the United States (US) before making the acquisition. It also had to overcome opposition from government officials in several nations who claimed the acquisition would reduce competition in the video gaming industry.³

The acquisition aligned with Microsoft's overall plan to strengthen its position in the gaming industry, thanks to Activision Blizzard's extensive library of popular games such as Call of Duty, World of Warcraft, and Candy Crush. The inclusion of these games in Microsoft's Xbox Game Pass subscription service¹ would greatly improve its offerings and position it as a formidable participant in the gaming business.

The acquisition would also enable Microsoft to compete more effectively with other tech behemoths such as Amazon and Google, both of whom had made significant investments in the gaming sector. Besides, it would solidify Microsoft's position as a market leader and perhaps redefine the industry's competitive dynamics. The acquisition of Activision's catalogue of popular gaming titles provided Microsoft, which had lagged behind rival Sony's PlayStation for several

¹ Game Pass was launched on June 1, 2017 and is a subscription service as part of Xbox offered by Microsoft Gaming.

years, an exceptional opportunity to catch up. However, the agreement came at a difficult moment for Activision Blizzard, which had been entangled in a number of workplace culture and harassment claims (*Refer to **Exhibit I** for details on Market share of game console operating systems worldwide from 2012 to 2022*).⁴

What should Phil Spencer (Spencer), CEO of Microsoft Gaming, do to ensure that Microsoft's buyout of Activision Blizzard becomes profitable? How would this transaction affect the plans of other industry competitors? Will Microsoft be able to solidify its position as a leader in the gaming business as in its software business?

GLOBAL VIDEO GAME MARKET: A BACKGROUND NOTE

Early video game prototypes were created in labs in the 1960s, but it was Atari Corporation's game Pong, which came out in 1972 – a year after its first game Computer Space was launched, that helped jumpstart the gaming industry. The arcade² table tennis game became a success, attracting eager players as well as new gaming companies that began producing knock-off versions. Atari then released a home console version of Pong in 1975. In 1977, the company launched its own Atari 2600 home console, which became the first system to sell over a million units. The arcade game market soon reached a plateau before the arrival in 1978 of Space Invaders developed by Taito, a Japanese company, followed by Asteroids (Atari) in 1979 and Pac-Man by Japanese firm Namco in 1980, reenergized the market. Arcade machines began to be installed everywhere and by 1982, arcades were generating more revenue than the pop music business and the movie office in the US.⁵

The gaming industry grew very quickly and to capitalize on this demand, Atari and others came up with a quick succession of games, many of which were of poor quality. They cost the companies millions of dollars and ended up slowing down the industry again. At the same time, personal computers were gaining popularity as gaming platforms, particularly after the launch of the Commodore 64 in 1982. In 1985, Nintendo released the Nintendo Entertainment System (NES) home console (released in Japan as the Famicom) that started the success era of the console business with hit games like Duck Hunt and Excitebike and Mario from Super Mario Bros. Nintendo became the innovation leader and launched the Game Boy, a handheld console, and the Super Nintendo Entertainment System, a home console.⁶

Japan-based multinational video game and entertainment company Sega entered the fray in 1988 with the Sega Mega Drive console (marketed as the Genesis in North America) and, later, the Game Gear portable console. These consoles offered higher computational power and speed over competition. In 1994, Sony introduced the PlayStation, which used CD-ROMs rather than cartridges to increase the storage capacity for individual games. This became the first console in history to sell over 100 million copies. The same year, Microsoft developed DirectX technology that made it possible for software developers to avoid writing code for specific hardware devices. Sony went on to introduce new software formats with the PlayStation 2 (DVDs) and PlayStation 3 (Blu-ray).

The rise of the internet and mobile propelled the gaming industry from tens of billions to hundreds of billions of dollars in revenue.⁷ Nokia and BlackBerry experimented with incorporating game apps into their phones. However, it was Apple's iPhone that cemented the shift of gaming to a mobile platform. The company's launch of the App Store for iOS smartphones in 2008 (followed quickly by Google's own store for Android devices) paved the way for app developers to create free, premium, and pay-per-feature games aimed at a broad audience.

The next shift was the move to cloud-based services. Console manufacturers like Sony launched cloud-based subscription services while still developing new consoles. Amazon and Google also entered the fray and introduced their own services that functioned across numerous platforms, including smartphones. Popular games like Pokémon Go on smartphones generated more than \$1

² An arcade game is a game that is played using a coin-operated entertainment machine.

billion in annual sales. Grand Theft Auto V made a record-breaking \$1 billion in only three days when it was launched in 2013. With the explosion of cellphones, social media games, and streaming services, there were more than 2.7 billion gaming players in the world by 2020.⁸

Between 2010 and 2020, the annual game industry revenue grew from \$78 billion to \$137 billion – more than either Hollywood or the American music industry. As Netflix put it in its Q4 2018 letter to shareholders, “We compete with (and lose to) Fortnite³ more than HBO.”⁹ (Refer to *Exhibit II* for details on *The Gaming Industry (1970 – 2020)*).

MICROSOFT AND THE VIDEO GAME SPACE

Microsoft had long been interested in the gaming sector. The origins of its interest in gaming can be traced back to the 1980s when the Microsoft Flight Simulator⁴ was released in 1982, three years before the company released the first-generation Windows operating system in 1985. Microsoft offered Black and White Chess, a simple puzzle game for users to become acquainted with the complex GUI interface of the Windows system at the time and learn to use the mouse. It was also the first built-in game of the Windows system. Minesweeper and Solitaire later took the place of Black and White Chess as iconic built-in games for Windows 3.0 and later versions.

In 1995, Microsoft transferred Ed Fries⁵ from its Office development department and made him the new head of the gaming department, thereby giving a boost to its presence in the gaming scene. Sony’s PlayStation (PS) and Nintendo’s Saturn gaming consoles arrived in the US the same year. Sony highlighted the non-games features of the PlayStation and sought to project it as an alternative to the Microsoft PC. Microsoft’s major concern till that point had been to ensure the seamless rollout of Windows 95 since revenue from games was negligible for the company.¹⁰ But this move by Sony left Bill Gates, Microsoft founder and CEO, worried and he decided to spend time and resources on making Microsoft a serious player in the gaming industry. Microsoft’s first serious foray into original games was the real-time strategy game Age of Empires in 1997, developed by Ensemble Studios headed by Tony Goodman. This was the first game that showed that Microsoft could successfully publish original games.¹¹ The release of Age of Empires helped Microsoft reap the rewards of the gaming business as it sold more than 2 million copies that year. Incidentally, in 1998, Ed Fries made an effort to convince Microsoft executives to purchase Blizzard Entertainment, Inc.⁶ or Westwood⁷, but Vivendi⁸ and Electronic Arts⁹ outbid them. Finally, Microsoft acquired FASA Studio, which created the “Robo Warrior” series.

Xbox Game Console Development Plan

In 2000, Microsoft looked like an unlikely competitor to Sony and Nintendo, which had built console gaming into a billion-dollar industry. Although Microsoft had dabbled in PC games, its entire business model revolved around Windows, Office, and other software for enterprises. The hardware division at that time produced some computer peripherals but not sophisticated consumer electronics.

³ Fortnite Battle Royale is a free-to-play battle royale multi-player video game developed and published in 2017 by Epic Games.

⁴ Microsoft Flight Simulator is a PC video game series. The flight simulator programs were initially created for MS-DOS, Classic Mac OS, and Microsoft Windows operating systems. The Microsoft Simulation Flight series is still sold, making it one of the longest constantly updated PC game series in history.

⁵ Ed Fries is an American video game programmer and entrepreneur who was the vice president of game publishing at Microsoft during much of the Xbox’s life-cycle.

⁶ Blizzard Entertainment, Inc. is an American video game developer and publisher based in Irvine, California.

⁷ Westwood is a video game developer in the real-time strategy, adventure and role-playing genres.

⁸ A French mass media holding company headquartered in Paris.

⁹ An American video game company headquartered in Redwood City, California.

Initially, the industry was not clear why Microsoft was branching out into the gaming sector. However, the company felt that leveraging the gaming industry's success would help the business position itself for the upcoming boom in home digital entertainment. In 2000, the company launched its own game console, the Xbox. Microsoft took advantage of its networking expertise to include an Ethernet connector as standard on all Xbox consoles. The business introduced its Internet-based Xbox Live service in 2002, making it simple for users to compete against other users online. This led to Microsoft becoming a serious player in the gaming business along with Sony and Nintendo, who made networking a standard feature of their consoles in 2004 and 2006 respectively.

As the Xbox gave way to the Xbox 360, and Sony and Nintendo also brought out new hardware platforms (the PlayStation 3 and the Wii), Microsoft's approach to managing its online business kept it apart from its competitors. Microsoft, in contrast to Sony and Nintendo, decided to use its hardware to provide content from a variety of partner sources, including video from Netflix and Hulu, and games made by other developers. In 2011, the company had reached agreements with cable networks like HBO and providers like Comcast to route pay TV through the Xbox 360 system rather than using separate cable boxes. As of 2011, the Xbox 360 was the second best-selling video game system in the United States, behind only Nintendo's Wii and surpassing Sony's PlayStation3, according to market research firm NPD. This positioned Microsoft as a contender in the fierce battle to serve up entertainment on demand, particularly from Internet video services. Microsoft also integrated Bing, its search engine, into Xbox and Xbox Live to allow users to search for multimedia content. David Dennis, then spokesman for Xbox, stated, *"The future will involve seamless transitions between phones, PCs, and the Xbox: You start a movie on a desktop or a big TV and finish it on a laptop, [or you] want to watch at your desk while you're having lunch. We're creating a media system [with pieces] that can all talk to each other."*¹² (Refer to **Exhibit III** for details on an overview of some important video game developers with a brief timeline of their contributions to the gaming industry).

Microsoft's Increased Focus on Gaming

On July 23, 2014, Microsoft's new CEO, Satya Nadella, stated in a memo that the Xbox video game platform was crucial to Microsoft, even if it did not fit cleanly into the productivity-focused plan. *"As a large company, I think it's critical to define the core, but it's important to make smart choices on other businesses in which we can have fundamental impact and success. The single biggest digital life category, measured in both time and money spent, in a mobile-first world is gaming. We are fortunate to have Xbox in our family to go after this opportunity with unique and bold innovation,"*¹³ Satya stated.

Microsoft doubled down and subsequently changed from a console-centric approach to a "ubiquitous global gaming ecosystem" that included not only gamers but also game creators and publishers. Investments in cloud gaming, the Game Pass subscription service, and cross-platform play facilitated the growth of this ecosystem, with the goal being to allow players to participate from anywhere, at any time, on any device. In 2019, Microsoft began to reduce its reliance on home consoles and entertainment systems like the Xbox One X, Xbox One S, Xbox One, or their successors. Instead, the gaming behemoth increased its reliance heavily on its Xbox Game Pass subscription service and its Project xCloud streaming network. While the business claimed that removing hardware would enable it to reach an estimated two billion gamers, it was also a covert acknowledgment that Microsoft had the means to compete with Sony and Nintendo. In fact, then Xbox CEO Spencer claimed that the console industry was not as successful as it could be. In an interview in 2019 he said, *"We want to bring Game Pass to any device that somebody wants to play on, Not just because it's our business, but really because the business model allows for people to consume and find games that they wouldn't have played in any other space."*¹⁴ Beside this, Microsoft estimated that there were two billion gamers in the world and many of them lived where console gaming was not feasible. *"We know we aren't going to sell two billion consoles, and there are a lot of markets around the world where a console is not necessarily part of the lifestyle,"* stated Kareem Choudhry, Corporate Vice President of Gaming Cloud for Microsoft.

However, Ubisoft¹⁰'s Chris Early (Chris) in conversation with GamesBeat, an online audio and video media firm, opined that subscription gaming was inhibiting his company's progress. He said, *"I'll give you two examples and one is with PS Now¹¹. I think that's a great technology for getting streaming content to people, but we don't make the money as a publisher — we don't make the same amount of money as we would even just putting stuff on sale. So why bother, from a publisher's standpoint?"* He added, *"There's a similar challenge with your business model. We see it works. We're believers. You've capped it with a subscription plan, where publishers aren't able to make money. On the other hand, you could just sell the game and let people have the five-minute experience while it downloads, or pay you an add-on price to be able to continue to have fast access in many more places. With a subscription, it's just giving it away."*¹⁵

Microsoft established the Gaming Ecosystem Organization (GEO) in 2020 to oversee the needs of game makers across all of its products and services, including Xbox, Azure, and Microsoft 365.

Microsoft also continued to undertake large-scale acquisitions like that of Minecraft developer Mojang in 2015 and ZeniMax Media in 2021. Its gaming revenue increased to \$16.2 billion in fiscal year 2022. The number of Xbox owners who subscribed to a gaming library rose from 18 million in 2021 to 25 million by end of 2023. In 2022-23, Microsoft prioritized PC Game Pass growth while scaling back some of its Xbox Cloud Gaming initiatives. It aimed to achieve a 73% growth rate in Game Pass subscriptions in a single fiscal year ending in June 2022, but only achieved 28%. The combination of Xbox Series S, the effective \$299 Game Pass console, and cloud gaming was expected to generate a significant portion of the 100 million Game Pass subscribers. However, Microsoft realized that the sales of its latest consoles alone would not help it achieve that target. It then decided to explore other routes for Xbox Game Pass or gaming income growth, notably on mobile, which was a major basis for its decision to acquire Activision Blizzard.¹⁶ (Refer to **Exhibit IV** for details on Microsoft's Growing Gaming Ambitions).

The Gaming Market at the Time of Acquisition

According to a market analysis report published by Grand View Research, the video game market was valued at \$217.06 billion in 2022 and was expected to grow at a compound annual growth rate (CAGR) of 13.4% from 2023 to 2030. The increasing popularity of online gaming, the development of high-bandwidth network access, and the enduring need for 3D games were all factors in the market's expansion. Furthermore, the ubiquity of smartphones had made video games more accessible, portable, and social, and had further fueled the growth of the gaming industry. Technological advancements in smartphone gaming hardware as well as their convenience and accessibility and the availability of low-cost alternatives had increased the popularity of mobile games among the global population, compelling gamers to switch from consoles and pre-installed PC games to smartphone gaming. In 2022, the mobile device segment had the highest revenue share in the gaming industry with more than a 40% share. The report further stated that the growing popularity of mobile gaming among youth was anticipated to present profitable prospects for the mobile device market. According to Techpenny¹² data from 2023, the average age of mobile gamers was 36.3 years. Furthermore, 86% of Gen Z¹³ played video games on their mobile devices.

Increased internet penetration, the expansion of the online casual gaming market, and the growing appeal of free-to-play (F2P) and massively multiplayer online (MMO) games were the main factors driving the growth of online gaming, in addition to technological developments including

¹⁰ Ubisoft Entertainment SA is a French video game publisher headquartered in Saint-Mandé with development studios across the world.

¹¹ PlayStation Now was a standalone video game subscription service on consoles developed by Sony.

¹² TechPenny is a company that operates in the Information Technology and Services industry.

¹³ Generation Z is the name given to the generation of people born between 1997 and 2012. It's commonly referred to as "Gen Z," for short.

mixed reality (MR), virtual reality (VR), and augmented reality (AR). The report also stated that from 2023 to 2030, the offline market was predicted to expand at a significant rate of over 10.0%. The offline video game market differed from its online equivalents in that it provided distinctive gameplay experiences. A common feature of offline games was the emphasis on rich narratives, challenging puzzles, and captivating environments that the player could explore at their own pace. When playing offline, there was no need for an internet connection or to engage in player competition. These same considerations had led to the continued popularity of offline gaming. *(Refer to **Exhibit V** for details on top countries and markets by video game revenues).*

In 2022, North America had a revenue share of approximately 24.0% of the video game market. According to the Entertainment Software Association¹⁴, more than 65% of Americans played video games, with over 212.6 million weekly players. This included 26% of gamers under the age of 18, and 25% over the age of 45. Furthermore, the region had major video game developers and technology titans such as Amazon Web Services, Inc., Apple Inc., Google LLC, Microsoft Corp., and NVIDIA Corp. that contributed to the growth of the video game market. These firms were concentrating on company expansion activities such as new product launches, strategic alliances, and geographic expansion. Spencer became the CEO of Microsoft Gaming in January 2022 soon after the announcement of the Activision Blizzard deal.

MICROSOFT'S ACTIVISION BLIZZARD DEAL

On January 18, 2022, speculations about a Microsoft Activision merger started to circulate. However, this was met with resistance since the beginning. Unfortunately for Microsoft, the enormity of the purchase and its impact on the gaming industry caught the attention of numerous authorities, governments, competitors, and organizations worldwide. Both the US Federal Trade Commission (FTC) and the European Commission (EC) filed complaints to stop the transaction, claiming market competition concerns.¹⁷ Sony, the company's main gaming console competitor and a vocal opponent of the acquisition, was among the first to criticize the proposal. Sony was naturally opposed to the acquisition because it had an agreement with Microsoft to license certain games exclusively on the PlayStation while the new mega deal could mean that Microsoft would move its newly acquired intellectual property to Xbox. Sony considered this as an anti-competitive move. On December 8, 2022, the FTC officially announced that it had received a complaint, bringing the acquisition under even greater scrutiny and it began investigating the deal in early February 2023.

The merger suffered a significant setback in January 2023 when it was provisionally denied by the UK's regulatory body, the CMA. Microsoft did present the CMA with a solution, which was deemed insufficient and so was rejected. The intended purchase was again halted in April 2023 due to concerns about the "future of the cloud gaming market." As a result, both Microsoft and Activision Blizzard filed an appeal. On July 19, 2023, Microsoft and Activision Blizzard revealed that the original July 18, 2023, deadline for the merger has been put off by 90 days to October 18, 2023, to give them more time to reach an agreement with the UK's CMA. Following the CMA's announcement that the first contract would be terminated, Activision Blizzard and Microsoft signed a new agreement on August 22, 2023. In a blog post, Microsoft stated that the new agreement was a substantially different transaction under UK law than the transaction submitted to the CMA in 2022 and hoped that the CMA's review process would be completed before October 18, 2023. The new pact included a significant agreement to transfer Activision Blizzard games on PC and console to Ubisoft, another game developer and publisher, for a period of 15 years. This possible agreement would enable Ubisoft to offer Activision Blizzard's games on cloud services that did not run Windows. The CMA, which stated that it would treat the modified arrangement as if it were wholly new, finally approved the merger on October 13, 2023.

¹⁴ The Entertainment Software Association is the trade association of the video game industry in the US.

The modification made in the underlying arrangement first raised questions about whether the deal would have to be re-approved in markets that had already given their approval. According to media reports, an EU official stated in August 2023 that the commission was “carefully assessing” whether the changes in the UK required additional notification. According to a Bloomberg report in October 2023, the European Commission decided it would not need to re-examine the amended agreement.¹⁸

Finally, when Microsoft declared on October 13, 2023, that Activision Blizzard, a publisher of video games, had been acquired for \$69 billion, it was the largest transaction in its 48-year existence. FTC spokesperson Victoria Graham said. “*Microsoft and Activision’s new agreement with Ubisoft presents a whole new facet to the merger that will affect American consumers, which the FTC will assess as part of its ongoing administrative proceeding. The FTC continues to believe this deal is a threat to competition.*”¹⁹

What Activision Provides to Microsoft

With the acquisition of Activision Blizzard, Microsoft’s gaming division was expected to rise by nearly 50%, pushing yearly revenue beyond \$20 billion.²⁰ The Activision purchase would also enable Microsoft to shorten time-to-market with new gaming products, expand its reach, and deepen its penetration in those markets. According to Yahoo Finance, after the acquisition, Microsoft would become the third-largest gaming company by global revenue, trailing Tencent and Sony.

The deal significantly boosted Microsoft’s content pipeline, diversified the portfolio more heavily into mobile and PC games, and assisted the company in making its services relevant to a bigger audience in more country markets. The acquisition also expanded Microsoft’s exposure to free-to-play and related live service skills. It complemented the company’s Game Pass subscription service approach and offered the possibility of reducing its reliance on new third-party releases, which were costly to buy. It strengthened Microsoft’s position against its direct rival Sony while also allowing it to compete more effectively against Tencent, which had its own big mobile games, and other cloud services companies. However, the purchased intellectual property from Activision Blizzard was clearly more Western-focused and still limited its influence in some major mobile-first regions globally. As a result, the gaps in the company’s portfolio remained.

According to Ampere¹⁵, Activision Blizzard’s content portfolio could progressively be connected with Microsoft’s B2B games services, tools, and technology, resulting in significant larger synergies. For example, Activision Blizzard had announced a strategic partnership with Google Cloud before the acquisition, which Ampere believed could be revisited in the future.²¹ Ampere also felt that in order to make a significant effect with any mobile-focused Game Pass offer, Microsoft would need to aggressively consider the local interests of gamers in regions such as Southeast Asia and India, although Call of Duty offered on mobile phones could help. (Refer to **Exhibit VI** for details on all the Activision Blizzard gaming series owned by Microsoft as of October 2023).

The deal would allow Microsoft to own all of the developers under the Activision Blizzard umbrella, including teams from Activision Publishing, Blizzard Entertainment, and King. The deal also included Treyarch, Raven Software, Sledgehammer Games, Beenox, and Toys for Bob, Activision Shanghai Studio, and others. With the merger of Activision Blizzard’s studios, Microsoft as of October 2023 had a total of 30 studios, making it a formidable publisher of games.

The most significant problem during the Federal Trade Commission’s (FTC) trial was the exclusivity of Call of Duty after the acquisition. Microsoft had, however, stated in the revised deal that it would release new Call of Duty titles for personal computers, PlayStation 4, PlayStation 5, Xbox One, and Xbox Series X/S. Since Microsoft’s pledge to bring Activision Blizzard games on all platforms was limited to Call of Duty, it might make Activision’s other brands, such as Diablo, Overwatch, Crash Bandicoot, and Spyro, exclusive to Xbox.

¹⁵ Ampere is a market-leading data, research and analytics firm.

The agreement would let Microsoft dramatically expand its footprint in the mobile gaming market. Activision Blizzard had 368 million monthly active users as of March 2023, according to Yahoo Finance's Daniel Howley. Of the reported \$2.4 billion in consolidated revenue of Activision in the first quarter of 2023, mobile accounted for a sizable portion of sales totaling \$956 million. The deal could also help Microsoft gain a foothold in markets that had grown around mobility, cloud, and streaming. Harbir Singh (Singh), co-director of the Wharton's Mack Institute for Innovation Management, noted, "*Activision Blizzard gave [Microsoft] large numbers of users with Candy Crush and Call of Duty and other such games, and also multiple platforms including the mobile, the cloud, and many others.*" Singh also noted that "*Microsoft never really had enough strength in the entertainment area. While Apple demonstrated how it can offer users a seamless experience on mobile devices, Microsoft's Xbox was seen as a hardware-based second platform that had its primary focus on its MS Office platform.*"²²

The Implications for Competition

There was little doubt that this transaction could hurt Sony's market position. Sony's third-party business would suffer even if new releases for several popular game series like Call of Duty were added to PlayStation since Activision Blizzard's remaining content would become more and more exclusive to Xbox platforms and services. In addition, as more of the major game franchises joined Xbox Game Pass on release, major game publishers like Sony and Nintendo who planned to release competitive titles would have to rethink the timing of their game releases. Also, third-party games accessible on Xbox platforms but not included in Game Pass could suffer as the variety and popularity of content in Game Pass grew in popularity.

Earlier, when Microsoft decided to ship the affordable version of its new gaming console without a disc drive, it marked the first time in history since the invention of the Compact Disc that a major console manufacturer had designed and shipped a console without one. What this meant was that there was no longer any use of physical media for games, movies, or music. Sony was forced to react and had to quickly follow with a "lower-end" digital console version, which also did away with the disc drive.

As a result of the size and broader industry implications of the Activision transaction, big companies would also have to think of acquisitions themselves.²³

ROAD AHEAD

Microsoft owned both the Xbox console and the Microsoft operating system and absolutely dominated PC gaming, giving the corporation effective control over two different platforms from which to recruit new clients.²⁴ Though the deal offered immense potential, George Jijiashvili (George), senior principal analyst at research and advisory firm Omdia, stated that "*Microsoft's success in integrating Activision's business is not guaranteed, especially as its track record with acquisitions has been a mixed bag.*" Another hurdle for Microsoft would be addressing the staffing issues that had plagued Activision prior to the acquisition. Microsoft had previously committed to remaining neutral if almost 10,000 Activision workers in the US and Canada wanted to organize themselves into a labor union, as part of a 2022 deal with the Communications Workers of America (CWA) intended to resolve political concerns in the US about the merger's consequences. CWA President Claude Cummings Jr (Cummings Jr) said, "*Over two years ago, workers at Activision Blizzard's studios captured the country's attention through walkouts and other protests over discrimination, sexual harassment, pay inequity, and other issues they were facing on the job. Their efforts to form unions were met with illegal retaliation and attempts to delay and block union elections. Now these workers are free to join our union through a fair process, without interference from management.*"²⁵

In a scenario where Microsoft and Activision's profits were merged, Microsoft would overtake Sony PlayStation as the second-largest gaming firm after Tencent for the first time in gaming history. It exemplified Microsoft's goal to mimic Tencent in this market, generating service games that were

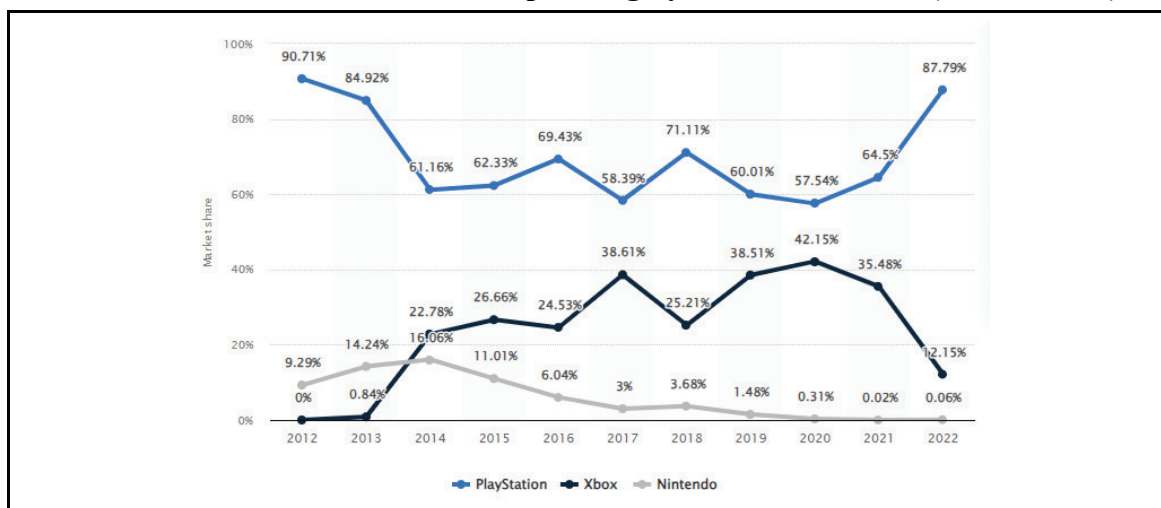
available across all platforms, as opposed to the more typical closed console ecosystem model that had proven successful for PlayStation and Nintendo. Microsoft had also informed investors that the merged revenue streams would result in a near 50% rise in gaming revenue for the next quarter (Jan-March 2024). (Refer to **Exhibit VII** for details on Microsoft's gaming competitors).

According to Newzoo, 50% of all gaming income was shared by the top ten companies. However, despite this concentration, the diversity of business models was extremely striking. PlayStation and Nintendo were totally focused on their own hardware ecosystems, with PC and mobile being treated as an afterthought, while Tencent, the market leader, did not create any hardware at all. Microsoft was likely the most diverse as of 2023, with a good offering in mobile games through Activision, a strong presence in Western console markets, and greater exposure on PC through program like Xbox Game Pass.²⁶

The European Union had labeled Apple as a “gatekeeper” tech business, which meant it would be required to open up its platform to third-party app stores and software side-loading beginning in 2024. Microsoft at the same time intended to create an Xbox mobile gaming shop and it was devoting enormous resources to that aim. “*Its unearned “underdog” status is now surely shed, owing to the vastness of its combined portfolio with Activision-Blizzard and ZeniMax, and the diversity of its offerings across every platform. As a fan of the traditional Xbox console hardware ecosystem, though, I hope Microsoft has more tricks up its sleeve to reverse its fortunes in that space as well,*”¹⁶ stated Jez Corden, Co-Managing Editor, Windows Central.

Microsoft and Sony had long been fierce competitors in the high-end console gaming business, with Sony regularly leading by almost every indicator. Despite Xbox's low market share, Microsoft had seen tremendous success by moving to PC and doubling down on services.²⁷ Would the acquisition of Activision-Blizzard lead to Microsoft finally becoming a gaming powerhouse for the first time in history and solidify its position as a leader in the gaming business like its software business? What should Spencer do to ensure that the merger is successful and consolidate the gaming business?

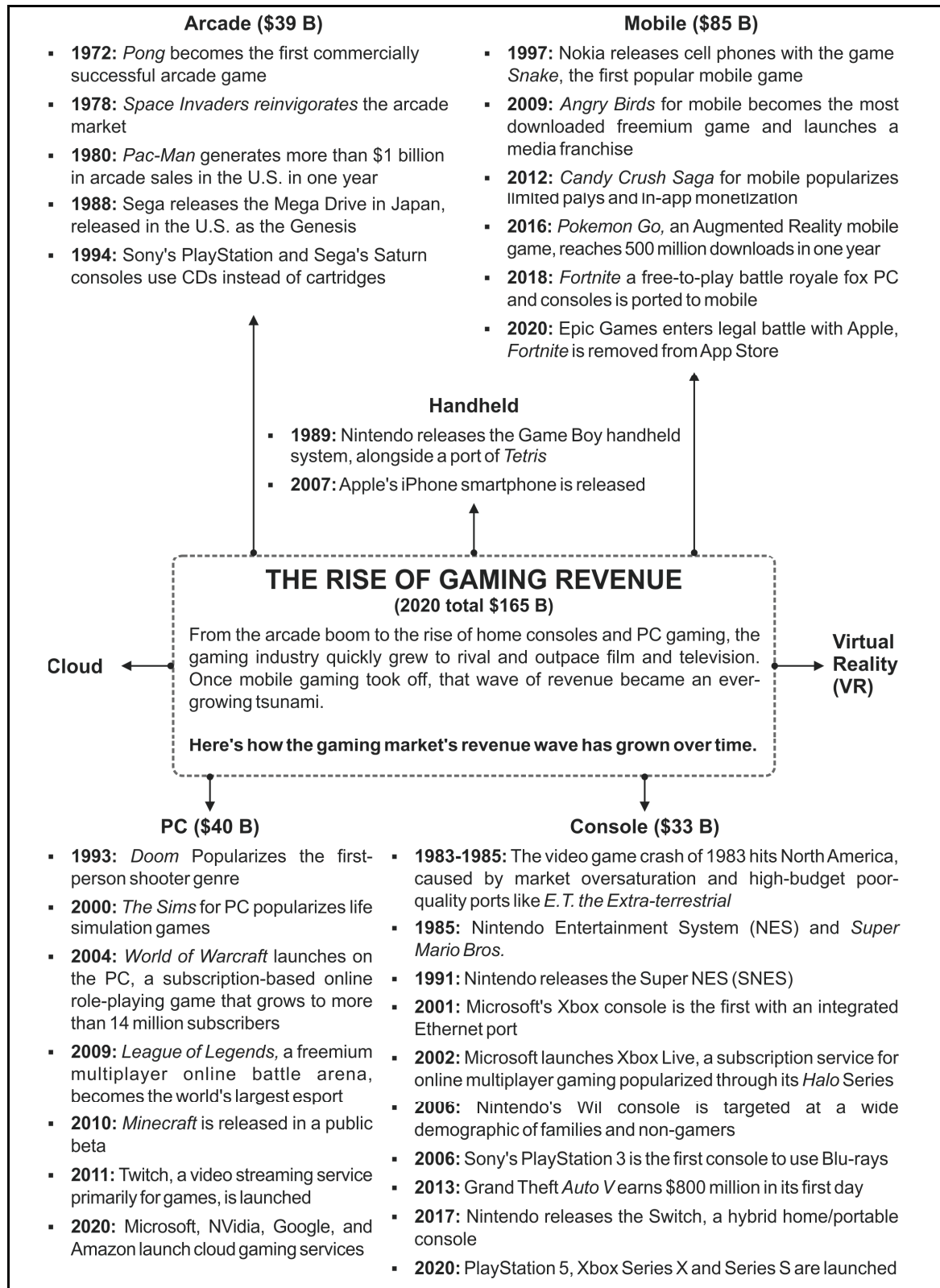
Exhibit I:
Market Share of Game Console Operating Systems Worldwide (2012 to 2022)



Source: “Market share of game console operating systems worldwide from 2012 to 2022”, <https://www.statista.com/statistics/1044925/market-share-of-console-operating-systems-worldwide/>

¹⁶ A website that offers news, reviews, advice and buying recommendations on the Windows, PC and Xbox ecosystems, products, and accessories.

**Exhibit II:
The Gaming Industry (1970 – 2020)**



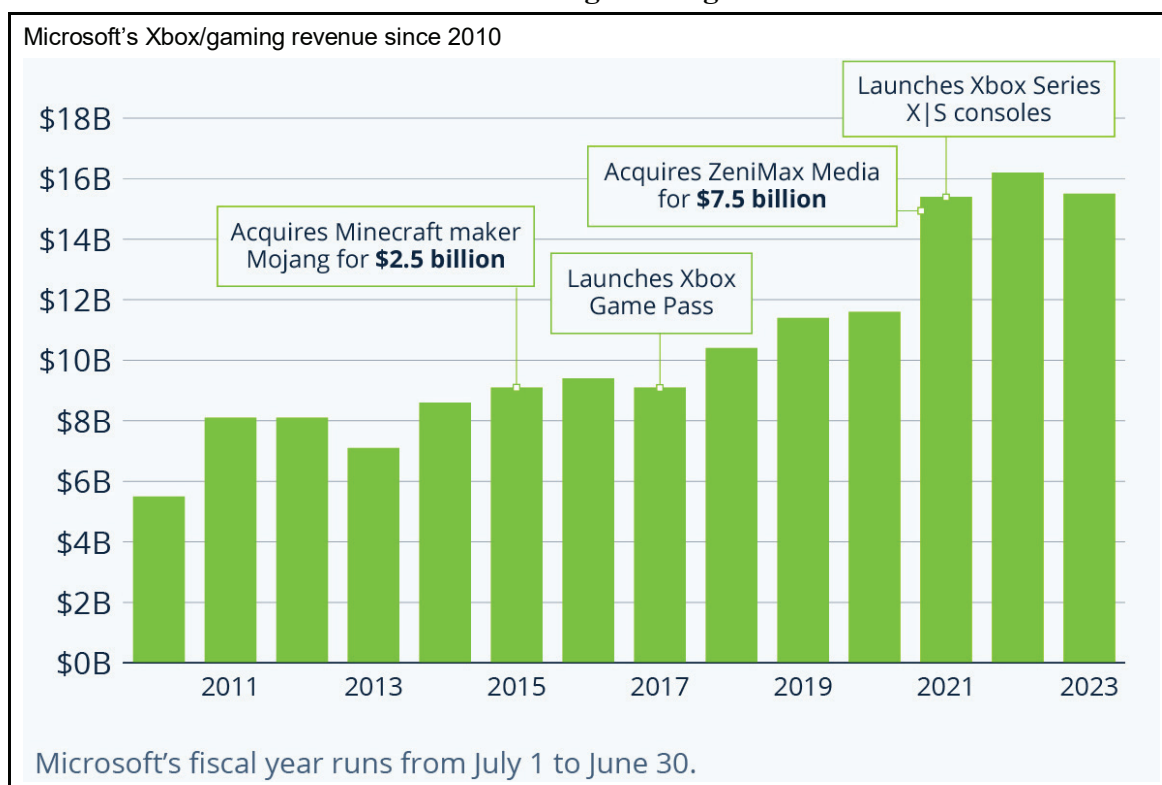
Source: "The history of the gaming industry in one chart", <https://www.weforum.org/agenda/2020/11/gaming-games-consels-xbox-play-station-fun/>, November 27, 2020

**Exhibit III:
Major Videogame Developers**

Nintendo	Sony Interactive Entertainment	Ubisoft
Founded: September 23, 1889. Entry into video games: 1977 with the Color TV-Game. Key Milestones: Super Mario Bros. (1985), The Legend of Zelda (1986), Pokémon series (1996), Nintendo Switch (2017).	Founded: November 16, 1993. Entry into video games: 1994 with the original PlayStation. Key Milestones: PlayStation console series, Gran Turismo (1997), God of War series, The Last of Us (2013), PlayStation VR (2016).	Founded: March 1986. Entry into video games: 1989 with the release of its first game, “Zombi.” Key Milestones: Assassin’s Creed series, Far Cry series, Tom Clancy’s Rainbow Six series, Watch Dogs series.
Microsoft Game Studios / Xbox Game Studios: Founded: March 2000 (as Microsoft Game Studios). Entry into video games: 2001 with the Xbox console. Key Milestones: Halo: Combat Evolved (2001), Xbox Live (2002), Gears of War series, Minecraft acquisition (2014), Xbox Game Pass (2017)		

Source: Compiled from different sources by the author

**Exhibit IV:
Microsoft’s Growing Gaming Ambitions**



Source: Martin, Armstrong, “Microsoft’s Growing Gaming Ambitions”, <https://www.statista.com/chart/26633/microsoft-gaming-revenue/>, October 13, 2023

Exhibit V:
Top Countries and Markets by Video Game Revenues (as on 2022)
B-billion; M-million

Market	Revenue (USD)	No. of Gamers
United States	\$46.4B	209.8M
China	\$44.0B	696.5M
Japan	\$19.1B	73.4M
South Korea	\$7.4B	33.3M
Germany	\$6.5B	49.5M
United Kingdom	\$5.5B	38.5M
France	\$4.1B	38.8M
Canada	\$3.3B	22.0M
Italy	\$3.1B	36.1M
Brazil	\$2.6B	102.6M

Source: “Top countries and markets by video game revenues”, <https://newzoo.com/resources/rankings/top-10-countries-by-game-revenues>

Exhibit VI:
Activision Blizzard Gaming Series owned by Microsoft
(as of October 2023)

PC and console games from Blizzard: • Warcraft • World of Warcraft • Overwatch • Hearthstone • Diablo • Heroes of the Storm • StarCraft 2 • Mobile games from King	Console games from Activision: • Call of Duty • Tony Hawk’s Pro Skater • Crash Bandicoot • Spyro • Skylanders • King’s Quest • Prototype • Geometry Wars	Mobile games from King: • Candy Crush • Pet Rescue • Farm Heroes • Rebel Riders • Bubble Witch • Diamond Diaries • Pyramid Solitaire • Blossom Blast
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Source: Corinne Reichert, “Microsoft Now Owns Activision Blizzard: What It Means for Your Favorite Games”, <https://www.cnet.com/tech/microsoft-now-owns-activision-blizzard-what-it-means-for-your-favorite-games/>, October. 23, 2023

Exhibit VII:
Microsoft's Competitors

Publisher	Developers	Games	Publisher	Developers	Games
TENCENT	RIOT GAMES	League of Legends	SONY	NAUGHTY DOG	The Last of Us
		Valorant			Uncharted
		Team fight Tactics		SANTA MONICA STUDIO	God of War
	SUP E R C E L L	Clash of Clans		MMR	Little Big Planet
		Clash Royale		JAPAN STUDIO	Demon's Soul
		Brawl Stars		INSOMNIAC	Spider-Man
	EPIC GAMES	Fortnite			Ratchit and Clank
		Infinity Blade			Sunset Overdrive
		Fall Guys		GUERRILLA GAMES	Horizon
	DIGITAL EXTREMES	Warcraft		SP	Ghost of Tsushima
		Unreal Tournament		POLYPHONY DIGITAL	Gran Turismo
	GRINDING GEAR GAMES	Path of Exile		PLAYSTATION EXCLUSIVE	Bloodborne
	DONTNOD	Vampyr			Death Stranding
		Life is Strange		HOUSEMARQUE	Returnal
		Twin Mirror			Alienation
				BEND STUDIO	Days Gone
ELECTRONIC ARTS	EA SPORTS	Fifa	NINTENDO	Nintendo Entertainment Planning & Development	Mario
	MAXIS	Sims		Nintendo	Zelda
	RESPAWN ENTERTAINMENT	Apex Legends			Splatoon
	DICE	Titanfall		Mercury Steam/Nintendo Entertainment Planning & Development	Metroid
		Battlefield		Game Freak	Pokemon
		Star Wars: Battlefront 1&2		Nintendo Entertainment Planning & Development	Animal Crossing
	POPCAP GAMES	Plants vs Zombies		Bandai Namco Studios	Super Smash Bros
	BIOWARE	Dragon Age			
		Mass Effect			
	HAZELIGHT STUDIOS	It Takes Two			
	CRITERION GAMES/FIREMON KEYS STUDIOS	Need For Speed			

Source: "Why Microsoft Beats Sony", <https://seekingalpha.com/article/4497492-microsoft-beats-sony-video-game-industry>, March 24, 2022

End Notes:

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